

of little or no prior experience managing money and more wealth than you know what to do with can lead to financial disasters.^{[282](#)}

Let's see another example that illustrates the problem.



Life changed radically during the pandemic—our normal routines were disrupted, we had to live, work, and play at home. A number of companies benefitted from this remote work: Apple, Microsoft, Google, Docusign, Instacart, Target, Walmart, and of course Amazon.

Few companies saw their stocks soar in value as much as interactive exercise bike company Peloton. On March 13, 2020—the day the president declared a national emergency concerning Covid-19—Peloton's stock price was just under \$20. Nine months later, in January 2021, it had soared 750% to over \$167. Once Covid ended, so too did Peloton's stock run. By the end of 2021, it had crashed all the way back down to \$35—a 79% fall. Today, it's 97% off of its pandemic highs.

Peloton's co-founder and former CEO John Foley was once worth \$1.9 billion in Peloton stock, but nearly all of his wealth was wiped out.^{[283](#)} “You know, at one point I had a lot of money on paper,” he told the *New York Post*.^{[284](#)} He was forced to liquidate his holdings, including selling a \$55 million East Hampton waterfront home and other properties.

How was someone worth ~\$2 billion forced into selling assets?

All the usual ways: Too much leverage, living beyond your means, and too little patience to get rich slowly. That killer combination makes anyone vulnerable to sudden price drops in the assets they hold.

My partner Josh Brown discussed this in his book, *You Weren't Supposed to See That*. Securities-based lending had become the hot new product that (non-fiduciary) Wall Street loved:

The banks were more than happy to arrange a loan against any stock in their clients' portfolio and why not? This way no one had to sell and pay